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Secure Distribution Venture Pvt. Ltd.

What Is Syndicated Loans ?

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A Comprehensive Wholesale Banking & Corporate Credit Masterclass Document Covering Product Architecture, Structural Mechanics, Syndicate Roles, Legal Frameworks, Underwriting Metrics, Pricing Benchmarks, Real-World INR Case Study, and Regulatory Guidelines.

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Table of Contents

Chapter Name	Page Number
Chapter 1: Product Overview & Core Fundamentals	3
Chapter 2: Structural Mechanics, Syndicate Roles & Process Workflow	6
Chapter 3: Eligibility Criteria & Credit Underwriting Benchmarks	8
Chapter 4: Security Architecture, Escrow Controls & Documentation Suite	9
Chapter 5: Indicative Tenures, Pricing Structure & Benchmark Rates	11
Chapter 6: Suitable Industries, Corporate Profiles & Strategic Applications	13
Chapter 7: Key Advantages & Structural Limitations for Borrowers and Lenders	14
Chapter 8: Comprehensive Real-World Case Study — INR 1,500 Crore Hybrid Energy Syndication	15
Chapter 9: Indian Regulatory Framework, RBI Directives & IBC 2016 Integration	17
Chapter 10: Rookie Mastery Examination — 15 High-Yield Test Q&As with Detailed Answers	18

Executive Summary & Masterclass Outline

A Syndicated Loan represents the pinnacle of wholesale corporate debt mobilization in modern international and Indian BFSI markets. Designed to raise substantial financial capital—often ranging from hundreds of crores to several thousand crores of Indian Rupees—a syndicated loan brings together a consortium of institutional lenders under a single, unified legal agreement. This white paper serves as an exhaustive, definitive guide designed specifically to equip finance professionals, corporate treasurers, credit analysts, and finance rookies with an end-to-end understanding of Loan Syndication.

> **Masterclass Learning Objectives**
> By studying this document, finance professionals will gain complete operational mastery over:
> 1. Product fundamentals, evolution, and comparative positioning against Consortium and Multiple Banking.
> 2. Structural roles: Mandated Lead Arranger (MLA), Bookrunner, Facility Agent, and Security Trustee.
> 3. Standardized LMA/IBA legal documentation, Information Memorandum (IM) preparation, and covenants.
> 4. Quantitative underwriting metrics (DSCR, ICR, Leverage) and RBI regulatory frameworks (LEF, LEI, IRAC).
> 5. Real-world INR 1,500 Crore case study with full financial waterfall analysis and 15 high-yield mastery questions.

Table of Masterclass Chapters

- Chapter 1: Product Overview & Core Fundamentals
- Chapter 2: Structural Mechanics, Syndicate Roles & Process Workflow
- Chapter 3: Eligibility Criteria & Credit Underwriting Benchmarks
- Chapter 4: Security Architecture, Escrow Controls & Documentation Suite
- Chapter 5: Indicative Tenures, Pricing Structure & Benchmark Rates
- Chapter 6: Suitable Industries, Corporate Profiles & Strategic Applications
- Chapter 7: Key Advantages & Structural Limitations for Borrowers and Lenders
- Chapter 8: Comprehensive Real-World Case Study — INR 1,500 Crore Hybrid Energy Syndication
- Chapter 9: Indian Regulatory Framework, RBI Directives & IBC 2016 Integration
- Chapter 10: Rookie Mastery Examination — 15 High-Yield Test Q&As with Detailed Answers

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Chapter 1: Product Overview & Core Fundamentals

A Syndicated Loan is a structured financial facility wherein two or more primary financial institutions—including commercial banks, non-banking financial companies (NBFCs), multilateral agencies, and private credit funds—jointly provide a large loan to a single corporate borrower. The fundamental hallmark of a syndicated loan is that while multiple lenders provide the underlying capital, the transaction is negotiated, governed, and administered under a single master loan agreement with uniform terms, standard pricing, and a single designated Facility Agent.

Evolution of Corporate Debt Structures in India

Historically, Indian wholesale corporate financing relied heavily on rigid regulatory frameworks. Prior to the mid-1990s, the Reserve Bank of India (RBI) mandated formal 'Consortium Lending' for large credit exposures exceeding specified monetary thresholds. Under mandatory consortium rules, banks were required to pool funds under joint appraisals, creating administrative bottlenecks, rigid pricing, and lengthy decision cycles.

Following the financial sector liberalizations initiated by the J.V. Setty Committee (1993) and the deregulation of mandatory consortium rules in October 1996, Indian corporate debt transitioned toward market-driven structures. Borrowers gained the flexibility to choose between Multiple Banking Arrangements (MBA), voluntary consortiums, and Loan Syndication. Over the past decade, Loan Syndication has emerged as the preferred market mechanism for large-scale corporate capital expenditure, cross-border M&A acquisitions, and infrastructure project financing.

Comparative Matrix: Syndicated Loans vs. Alternative Debt Structures

To appreciate the distinct value proposition of Loan Syndication, finance rookies must analyze how it compares against alternative multi-lender arrangements:

Feature / Dimension	Syndicated Loan	Consortium Funding	Multiple Banking (MBA)	Bilateral Term Loan
Legal Agreement	Single Master Syndicated Facility Agreement	Joint Working Capital Consortium Agreement	Multiple separate, independent bilateral agreements	Single bilateral loan agreement
Loan Administration	Centralized via single designated Facility Agent	Managed by Lead Bank via Joint Consortium meetings	Decentralized; each bank manages its own line independently	Directly managed by sole lending bank

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Security & Asset Charge	Held on trust by designated Security Trustee for all lenders	Pari-passu charge created jointly across member banks	Separate charges created on distinct carved-out assets	Exclusive first charge on assets pledged to sole bank
Pricing & Covenants	Uniform pricing spread and standardized covenants for all	Uniform interest rates agreed during consortium meetings	Varying rates and terms negotiated with each bank	Negotiated bilaterally between borrower and bank

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Chapter 2: Structural Mechanics, Syndicate Roles & Process Workflow

A successful loan syndication relies on a clear division of responsibilities among specialized financial intermediaries. Understanding these distinct roles is vital for credit analysts and corporate borrowers navigating the syndication process.

Key Structural Roles in a Loan Syndicate

- **Mandated Lead Arranger (MLA) / Bookrunner:** An investment bank or wholesale commercial bank awarded the mandate by the borrower to structure, price, underwrite, and syndicate the facility. The MLA drafts the Information Memorandum (IM) and leads primary distribution.
- **Facility Agent / Loan Agent:** The administrative nerve center of the syndicate post-closing. The Facility Agent acts as the single point of contact between the borrower and all syndicate lenders, handling drawdown notices, interest rate calculations, principal collection, and covenant compliance monitoring.
- **Security Trustee:** An independent financial institution (typically a licensed debenture/security trustee) appointed to hold asset mortgages, hypothecations, share pledges, and guarantees on behalf of all syndicate lenders under a Security Trust Deed.
- **Participating Lenders:** Institutional lenders—including commercial banks, private credit funds, insurance companies, and multilateral institutions—that subscribe to debt tranches within the syndicate and receive pro-rata interest and principal distributions.

Types of Syndication Commitments

Syndicated loan facilities are structured under three primary underwriting modalities:

- **Underwritten Syndication:** The Mandated Lead Arranger fully guarantees and underwrites the entire loan facility upfront at a specified price. If the MLA fails to sell down the debt to participant banks during primary syndication, the MLA must absorb the unsold balance on its own balance sheet.
- **Best-Efforts Syndication:** The MLA agrees to use its 'best efforts' to market and place the loan facility in the market up to a target amount, but does not guarantee or underwrite the unsubscribed portion. If market demand falls short, the borrower receives only the amount successfully raised.
- **Club Deal:** A pre-arranged syndication among a small group of relationship banks (typically 3 to 6 institutions) where terms are negotiated collectively upfront without a broad public syndication process.

The End-to-End Loan Syndication Process Workflow

The syndication lifecycle spans six distinct operational phases:

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• **Phase 1 — Mandate Award & Fee Letter Execution:** The corporate borrower evaluates its capital requirements, selects an experienced MLA, and executes an official Mandate Letter outlining facility terms, underwriting commitments, and fee structures.

• **Phase 2 — Due Diligence & Information Memorandum (IM):** The MLA conducts detailed credit due diligence, financial modeling, and prepares the Information Memorandum (IM)—a comprehensive document detailing business operations, financial projections, industry dynamics, and risk factors.

• **Phase 3 — Market Invitation & Bookbuilding:** The MLA distributes the IM and Confidentiality Agreement to prospective institutional lenders, hosting bank presentation meetings and managing Q&A sessions.

• **Phase 4 — Credit Allocation & Commitment Confirmation:** Prospective lenders submit formal credit commitments. The MLA allocates final debt tranches among participating banks based on oversubscription or target hold levels.

• **Phase 5 — Documentation Execution & Security Creation:** Legal counsel drafts the master Syndicated Facility Agreement, Security Trust Deed, and Intercreditor Agreement. All parties execute the unified documentation suite.

• **Phase 6 — Facility Disbursement & Post-Closing Administration:** Conditions Precedent (CPs) are verified, the loan is disbursed via the Facility Agent, and ongoing monitoring begins.

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Chapter 3: Eligibility Criteria & Credit Underwriting Benchmarks

Because syndicated loans involve large credit exposures distributed across multiple institutional balance sheets, underwriting standards are stringent. Lenders evaluate both quantitative financial health and qualitative governance metrics.

Quantitative Financial Benchmarks

- **Annual Revenue & Scale:** Corporate borrowers generally possess annual operating turnover exceeding INR 250 Crores, with large corporate syndications exceeding INR 1,000 Crores.
- **External Credit Rating:** Borrowers must maintain an external investment-grade credit rating from SEBI-registered rating agencies (e.g., CRISIL, ICRA, CARE, India Ratings). A rating of 'BBB-' is the minimum entry threshold, while 'A' or 'AA/AAA' ratings command prime pricing.
- **Debt Service Coverage Ratio (DSCR):** Measures cash flow available to service debt. Lenders mandate a minimum DSCR of 1.25x to 1.50x across the loan tenure, calculated as:
DSCR = (EBITDA - Statutory Taxes) / (Annual Interest + Annual Principal Installments)
- **Interest Coverage Ratio (ICR):** Measures operational margin safety against interest costs. Underwriters require an ICR of at least 2.0x to 3.0x (EBITDA / Total Interest Expense).
- **Leverage Ratio (Debt / EBITDA):** Reflects total debt leverage relative to cash generation. Lenders cap Total Debt / EBITDA between 3.5x and 4.5x depending on sector stability.
- **Debt-to-Equity Ratio (DER):** Cap on balance sheet gearing. Generally capped at 2.0:1 for manufacturing/corporate borrowers and up to 3.0:1 for capital-intensive infrastructure projects.

Qualitative & Regulatory Compliance Filters

- **Credit Bureau Track Record:** Zero records of Wilful Defaulter or Non-Cooperative Borrower status on RBI/CIBIL Commercial databases.
- **Promoter Skin-in-the-Game:** Promoters must demonstrate substantial unencumbered equity stake (typically 25% to 51%+), ensuring alignment of interests.
- **Legal Entity Identifier (LEI):** Mandatory 20-digit Legal Entity Identifier (LEI) code as mandated by RBI for entities with aggregate exposure exceeding INR 5 Crores.
- **ESG & Sustainability Standards:** Compliance with Business Responsibility and Sustainability Reporting (BRSR) frameworks for top listed corporate entities.

Chapter 4: Security Architecture, Escrow Controls & Documentation Suite

Credit enhancement and robust legal documentation are the bedrock of wholesale syndicated lending. A standardized legal architecture ensures that all participant lenders hold equal, pari-passu security rights.

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Security & Collateral Package

- **Primary Fixed Asset Security:** First pari-passu mortgage over immovable properties (land, factory buildings) and hypothecation of movable plant and machinery.
- **Current Asset Hypothecation:** First or second pari-passu charge on current assets, including raw material inventory, work-in-progress, finished goods, and trade receivables.
- **Promoter Share Pledge:** Exclusive pledge of promoter equity shares (dematerialized) with a mandatory minimum cover ratio (e.g., 1.5x to 2.0x of facility value).
- **Debt Service Reserve Account (DSRA):** A dedicated, ring-fenced bank account funded with 1 to 2 quarters of interest and principal installments, held in bank fixed deposits as a liquidity buffer.

Trust & Retention Account (TRA) / Escrow Cash Waterfall

To prevent fund diversion, all project revenues and receivables are directed into a ring-fenced TRA Escrow account. Monies are disbursed strictly according to a contractually agreed priority waterfall:

> **Statutory Escrow Cash Waterfall Priority**
> Step 1: Payment of Statutory Taxes and Government Dues.
> Step 2: Operations & Maintenance (O&M) Expenses and essential operating costs.
> Step 3: Syndicated Loan Interest Servicing.
> Step 4: Scheduled Syndicated Loan Principal Amortization Installments.
> Step 5: Debt Service Reserve Account (DSRA) replenishment (if drawn).
> Step 6: Unencumbered surplus cash released to Borrower for general corporate purposes / dividends.

Unified Legal Documentation Suite

- **Syndicated Facility Agreement:** The master loan contract executed between Borrower, MLA, Facility Agent, and Lenders. Defines facility limits, interest rates, repayment schedules, financial covenants, events of default, and voting thresholds.
- **Security Trust Deed:** Executed between the Borrower, Lenders, and the Security Trustee, empowering the Trustee to enforce security upon default on behalf of all lenders.
- **Intercreditor Agreement (ICA):** Binds all syndicate lenders together, establishing pro-rata loss sharing rules, standstill periods (e.g., 90–180 days), and voting thresholds (e.g., 66% or 75% majority for default declarations or waiver approvals).
- **Statutory Perfection Registrations:** Mandatory statutory filings including ROC Form CHG-1 (within 30 days of creation), CERSAI portal registration, and submission of credit data to NeSL Information Utility.

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Chapter 5: Indicative Tenures, Pricing Structure & Benchmark Rates

Syndicated loan facilities offer versatile tenure structures tailored to the underlying asset life cycle and corporate funding purpose.

Tenure Profiles & Amortization Mechanics

- **Short-Term / Bridge Facilities:** 12 to 36 months, utilized for acquisition bridge funding, immediate project mobilization, or temporary refinancing pending capital market issuance.
- **Medium-Term Syndicated Loans:** 3 to 7 years, representing the industry standard for corporate expansion, modernization, and long-term working capital term loans.
- **Long-Term Infrastructure Facilities:** 7 to 15+ years, utilized in capital-intensive infrastructure (roads, renewable energy, ports) with a 1 to 3 year principal moratorium during construction.

Pricing Architecture & Benchmark Interest Rates

Syndicated loan interest pricing is structured as a floating rate comprising a transparent Benchmark Rate plus a borrower-specific Credit Risk Margin:

- **Domestic Rupee Benchmark:** For Rupee-denominated syndicated loans, interest rates are pegged to the RBI Repo Rate (External Benchmark Lending Rate - EBLR) or Marginal Cost of Funds-Based Lending Rate (MCLR).
- **Foreign Currency Benchmark (SOFR):** For cross-border syndicated loans or Foreign Currency Non-Resident (FCNR) facilities, pricing is benchmarked against the Secured Overnight Financing Rate (SOFR) plus Credit Adjustment Spread (CAS).
- **Credit Risk Margin / Spread:** A spread ranging from 150 bps (for AAA corporates) to 450+ bps (for BBB- corporates) reflecting underlying credit risk, collateral cover, and market liquidity.

Syndication Fee Matrix

In addition to interest margins, syndicated loans involve a structured fee palette paid to syndicate intermediaries:

Fee Component	Typical Rate / Range	Payable To & Timing
Arrangement / Structuring Fee	0.50% to 2.00% of Total Facility Value	Paid upfront to Mandated Lead Arranger (MLA) at mandate award/closing
Commitment Fee	0.25% to 0.50% p.a. on undrawn limits	Paid periodically to Lenders on allocated but undrawn loan tranches

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Facility Agent Fee	INR 10.00 Lakhs to INR 25.00 Lakhs p.a.	Paid annually to Facility Agent for ongoing loan administration
Security Trustee Fee	INR 5.00 Lakhs to INR 15.00 Lakhs p.a.	Paid annually to Security Trustee for security custody and compliance

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Chapter 6: Suitable Industries, Corporate Profiles & Strategic Applications

While syndicated loans can benefit any large enterprise seeking capital, specific sectors and business scenarios demonstrate an exceptionally strong strategic fit for this product.

Prime Industry Sectors

- **Infrastructure & Renewable Energy:** Solar/wind parks, green hydrogen, battery storage, thermal plants, and transmission lines requiring long-dated capital.
- **Heavy Capital Goods & Metals:** Steel plants, cement units, automotive manufacturing, and chemical refineries expanding production capacity.
- **Telecommunications & Digital Infrastructure:** 5G spectrum bidding, fiber network rollouts, data center construction, and satellite communications.
- **Transportation & Logistics:** Highway expansion under Hybrid Annuity Model (HAM), port developments, and airport modernizations.
- **Real Estate & Commercial Portfolios:** Large commercial office parks, logistics parks, and warehousing portfolios utilizing Lease Rental Discounting (LRD).

Strategic Corporate Use-Cases

- **Greenfield & Brownfield Capex:** Funding massive brownfield expansions or greenfield projects exceeding single-bank credit limits.
- **M&A Acquisition Finance:** Financing domestic or international acquisitions of competitor companies (subject to RBI M&A acquisition norms).
- **Balance Sheet Refinancing:** Consolidating multiple high-cost short-term bilateral loans into a single structured, low-cost long-term syndicated loan.

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Chapter 7: Key Advantages & Structural Limitations

Evaluating Loan Syndication requires analyzing its trade-offs from both borrower and lender perspectives.

Advantages for Corporate Borrowers

- **Massive Capital Mobilization:** Allows borrowers to raise massive capital amounts that exceed individual bank single-counterparty exposure limits.
- **Single-Point Administrative Ease:** Borrower negotiates terms, pricing, and covenants with a single entity (MLA) rather than negotiating separately with dozens of banks.
- **Enhanced Market Reputation:** Successfully closing a syndicated loan establishes market visibility, building credit reputation among institutional investors for future equity or bond offerings.
- **Tax Deductibility of Interest:** Interest expenses incurred on corporate loans are tax-deductible under Section 36(1)(iii) of the Income Tax Act 1961.

Advantages for Institutional Lenders

- **Risk Diversification:** Allows banks to participate in premier corporate loans while managing single-borrower exposure risks within RBI limits.
- **Access to Prime Assets:** Participating banks can deploy capital into large blue-chip assets without incurring heavy origination and structuring costs.
- **Secondary Market Liquidity:** Syndicated loan tranches can be traded or assigned in secondary loan markets under RBI secondary market guidelines.

Structural Limitations & Challenges

- **Higher Upfront Structuring Costs:** Involves higher upfront arrangement fees, legal charges, and trustee fees compared to simple bilateral loans.
- **Complex Voting Requirements:** Material amendments, covenant waivers, or restructuring plans require majority consent (66% or 75% voting share) under the Intercreditor Agreement.
- **Information Leakage Risk:** Distributing an Information Memorandum across multiple banks increases exposure to market gossip prior to formal transaction closing.

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Chapter 8: Comprehensive Real-World Case Study — INR 1,500 Crore Hybrid Energy Syndication

To illustrate the practical mechanics, underwriting metrics, allocation matrices, and cash flow waterfalls of Loan Syndication, this chapter examines a realistic, fully modeled Indian transaction using Indian Rupees (INR / Crores).

Case Context & Project Overview

- **Borrower Entity:** Mahanadi Renewable Energy & Power Limited (MREPL)
- **Project Description:** Establishment of an 800 MW Hybrid Solar-Wind Power Project in Western Odisha.
- **Total Project Cost:** INR 2,000.00 Crores.
- **Capital Structure Ratio:** 75 : 25 (75% Debt / 25% Equity).
- **Promoter Equity Contribution:** INR 500.00 Crores (Funded upfront by Parent Conglomerate).
- **Total Debt Required:** INR 1,500.00 Crores.

Syndicate Structure & Allocation Matrix

State Bank of India (SBI) was awarded the mandate as Mandated Lead Arranger & Bookrunner (MLA) and Facility Agent. SBI structured and successfully syndicated the INR 1,500 Crore Rupee Term Loan facility across five institutional lenders:

Institution Name	Syndicate Role	Underwritten / Committed	Final Hold Limit	Share (%)
State Bank of India (SBI)	MLA & Facility Agent	INR 1,500.00 Cr	INR 500.00 Cr	33.33%
HDFC Bank	Co-Arranger	INR 350.00 Cr	INR 350.00 Cr	23.33%
Axis Bank	Co-Arranger	INR 250.00 Cr	INR 250.00 Cr	16.67%
Punjab National Bank (PNB)	Participant Lender	INR 200.00 Cr	INR 200.00 Cr	13.33%
Canara Bank	Participant Lender	INR 200.00 Cr	INR 200.00 Cr	13.33%

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TOTAL SYNDICATE	**5 Institutional Lenders**	**INR 2,500.00 Cr (1.67x)**	**INR 1,500.00 Cr**	**100.00%**

Facility Terms & Pricing Breakdown

- **Tenure & Structure:** 12 Years (144 Months), including a 24-Month Construction Moratorium followed by 10 Years of door-to-door quarterly amortization.
- **Interest Rate Benchmark:** Floating Rate pegged to RBI Repo Rate (6.50%) + Credit Risk Spread (2.10%) = Initial Effective Rate of 8.60% p.a.
- **Arrangement Fee:** 1.00% Upfront Structuring Fee = INR 15.00 Crores paid to SBI as MLA.
- **Security Cover:** First pari-passu mortgage on project land, plant, and machinery + Pledge of 51% promoter equity shares + Escrow TRA account + 2 Quarters DSRA.

Post-Commissioning Financial Modeling (Year 3 - Operational Phase)

- **Annual Revenue Generation:** INR 340.00 Crores (via 25-Year Power Purchase Agreement @ INR 3.10/kWh).
- **Operating & Maintenance Expenses (O&M):** INR 60.00 Crores.
- **Operating EBITDA:** INR 280.00 Crores (82.35% Margin).
- **Annual Interest Servicing:** INR 122.50 Crores (on average outstanding balance of INR 1,425 Crores @ 8.60%).
- **Annual Principal Amortization:** INR 50.00 Crores (Quarterly installments of INR 12.50 Crores).
- **Total Annual Debt Service:** INR 172.50 Crores.

> **DSCR & Covenant Verification Analysis**
> Calculated DSCR = Operating EBITDA / Total Debt Service
> DSCR = INR 280.00 Crores / INR 172.50 Crores = 1.62x
>
> Covenant Result: The calculated DSCR of 1.62x comfortably exceeds the mandatory covenant threshold of 1.25x agreed in the Master Syndicated Facility Agreement. The project generates an annual net cash surplus of INR 107.50 Crores available for DSRA maintenance and promoter dividend distribution.

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Chapter 9: Indian Regulatory Framework, RBI Directives & IBC 2016 Integration

Syndicated lending in India operates within a rigorous regulatory framework overseen by the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), and statutory insolvency laws.

RBI Regulatory Guidelines

- **RBI Large Exposure Framework (LEF):** Restricts a single bank's total credit exposure to a single corporate entity at 20% of the bank's Tier 1 Capital (extendable to 25% under board approval). This forces banks to use syndication for large exposures.
- **Legal Entity Identifier (LEI) Norms:** Mandates 20-digit LEI registration for all entities holding aggregate banking exposure of INR 5 Crores and above.
- **RBI Secondary Loan Market Directives:** Framework allowing lenders to trade, assign, or participate loan exposures in secondary markets to manage balance sheet concentration.

Insolvency and Bankruptcy Code (IBC) 2016 Integration

When a syndicated corporate borrower faces financial distress, the legal enforcement rights of syndicate lenders are governed by IBC 2016:

- **Financial Creditor Status:** Syndicate lenders are classified as Financial Creditors under Section 5(7) of IBC 2016, possessing statutory rights to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7.
- **CoC Voting Power:** Each syndicate lender holds voting weight in the Committee of Creditors (CoC) exactly proportional to its outstanding financial debt share. Passing a Resolution Plan requires a 66% CoC voting majority.
- **Section 53 Liquidation Waterfall Priority:** In the event of liquidation, secured syndicate lenders holding first pari-passu charge rank highest under Section 53 waterfall provisions, alongside 24-month worker dues, ahead of unsecured creditors and government taxes.

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Chapter 10: Rookie Mastery Examination — 15 High-Yield Test Q&As

Test your mastery of Loan Syndication by attempting these 15 scenario-based examination questions. Detailed answer explanations follow each question.

Q1: What is the primary operational difference between a Syndicated Loan and a Multiple Banking Arrangement (MBA)?

Answer: A Syndicated Loan operates under a single master loan agreement with uniform pricing, standardized covenants, and a central Facility Agent. An MBA consists of multiple separate bilateral agreements with independent interest rates, separate documents, and no central agent.

Q2: Which syndicate intermediary is responsible for conducting due diligence, preparing the Information Memorandum (IM), and leading debt placement?

Answer: The Mandated Lead Arranger (MLA) / Bookrunner.

Q3: Explain the difference between an Underwritten Syndication and a Best-Efforts Syndication.

Answer: In an Underwritten Syndication, the MLA guarantees the entire loan amount upfront and absorbs any unsubscribed debt. In a Best-Efforts Syndication, the MLA markets the loan up to a target amount but does not guarantee or absorb unsubscribed balances.

Q4: What role does a Security Trustee play in a loan syndicate?

Answer: The Security Trustee holds mortgages, hypothecations, and share pledges on trust for all syndicate lenders under a Security Trust Deed, enforcing security uniformly upon default.

Q5: Under the RBI Large Exposure Framework (LEF), what is the single-counterparty exposure limit for a commercial bank?

Answer: 20% of the bank's Tier 1 Capital (extendable to 25% with board approval).

Q6: What is an Information Memorandum (IM) in loan syndication?

Answer: A comprehensive marketing and credit evaluation document prepared by the MLA detailing the borrower's business model, financial projections, industry analysis, and facility terms for prospective lenders.

Q7: Calculate the DSCR for a firm with Operating EBITDA of INR 150 Cr, Statutory Taxes of INR 30 Cr, Annual Interest of INR 40 Cr, and Principal Repayment of INR 40 Cr.

Answer: DSCR = (EBITDA - Taxes) / (Interest + Principal) = (150 - 30) / (40 + 40) = 120 / 80 = 1.50x. (This satisfies the standard 1.25x covenant).

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Q8: How does a Debt Service Reserve Account (DSRA) enhance credit for syndicate lenders?

Answer: A DSRA ring-fences 1 to 2 quarters of interest and principal payments in bank fixed deposits, providing immediate liquidity if operational cash flows suffer a temporary disruption.

Q9: What interest benchmark is typically used for Indian Rupee syndicated loans vs. Foreign Currency syndicated loans?

Answer: Indian Rupee loans use RBI Repo Rate (EBLR) or MCLR. Foreign Currency loans use Secured Overnight Financing Rate (SOFR).

Q10: What is a Commitment Fee in loan syndication?

Answer: A fee (typically 0.25% to 0.50% p.a.) paid by the borrower to lenders on allocated but undrawn portions of the credit facility.

Q11: In an Escrow TRA cash waterfall, where does senior debt servicing rank relative to promoter dividends?

Answer: Senior debt servicing ranks far higher in priority (Steps 3 & 4), whereas promoter dividends are paid last out of remaining unencumbered surplus cash (Step 6).

Q12: Within how many days must a company file Form CHG-1 with the Registrar of Companies (ROC) after creating asset charges?

Answer: Within 30 days of charge creation.

Q13: What voting majority is required by the Committee of Creditors (CoC) under IBC 2016 to approve a Corporate Insolvency Resolution Plan?

Answer: A 66% majority vote based on financial debt share.

Q14: Are interest payments on a corporate syndicated loan tax-deductible in India?

Answer: Yes, interest payments are fully tax-deductible operating expenses under Section 36(1)(iii) of the Income Tax Act 1961.

Q15: What is a Legal Entity Identifier (LEI) and when is it mandatory in India?

Answer: A 20-digit global identifier code mandated by the RBI for corporate entities holding aggregate banking exposure of INR 5 Crores and above.

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